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CASE #	CASE NAME	HEARING NAME
CVPS2506225	BOCK VS PALM SPRINGS UNIFIED SCHOOL DISTRICT	MOTION TO SET ASIDE DEFAULT OF CROSS-DEFENDANT/ AND/OR RECONSIDER ENTRY OF DEFAULT

Tentative Ruling: PROOF OF SERVICE: Proper

GRANTED via NON-OPPOSITION

2.

CASE #	CASE NAME	HEARING NAME
CVRI2305855	HEWITT VS KLEIN	MOTION TO APPOINT RECEIVER ON 2ND AMENDED COMPLAINT

Tentative Ruling: PROOF OF SERVICE: Proper

DENY

SUSTAIN: Plaintiff's objections to ¶¶ 5, 9, 14, 15, 17, 19, 20, 25, and Ex. J to the Klein Decl., and to ¶¶ 5, 45, 94, and 95 of the Altstadt Decl.;

OVERRULE Plaintiff's objections to ¶¶ 3, 4, 7, 18, and Ex. K to the Klein Decl., and to ¶¶ 26, 31, 41-44, 49, 50, 59, 98-102, and Schedules 1-5 of the Altstadt Decl.;

and **SUSTAIN** in part and overrule in part Plaintiff's objections to ¶¶ 13.i.-13.xxxii. of the Klein Decl.,

SUSTAIN Defendants' objections to ¶¶ 22-26 of the Hewitt Decl., and **OVERRULE** their objection to ¶ 21 of the Hewitt Decl.

This is a dispute between co-owners of a marijuana dispensary in Jurupa Valley. On November 1, 2023, Plaintiff Scotty Hewitt ("Plaintiff" or "Hewitt") filed a Complaint against Defendants Boutique Cultivators dba Remedy Room ("Remedy Room"), Wesley Klein ("Wesley"), and Claudia Klein ("Claudia") for: (1) corporate dissolution; (2) declaratory relief; and (3) civil extortion. On December 13, 2023, Plaintiff filed a First Amended Complaint. On June 4, 2024, following a stipulation and order allowing Plaintiff to file a Second Amended Complaint ("SAC"), Plaintiff filed the operative SAC asserting 17 causes of action for: (1) breach of fiduciary duty - duty of care, (2) breach of fiduciary duty - duty of loyalty, (3) breach of contract, (4) breach of the implied covenant of good faith and fair dealing, (5) promissory estoppel, (6) fraud; (7) assault, (8) intentional infliction of emotional distress, (9) conversion, (10) intentional interference with contractual relations, (11) intentional interference with prospective economic relations, (12) removal of director (Corp. C. §304), (13) violation of Corporations Code §25401, (14) violation of Penal Code §496, (15) UCL, (16) declaratory relief, and (17) corporate dissolution.

In the SAC, Plaintiff alleges that he holds a 50% share of the Remedy Room and Defendants Wesley and Claudia (together “the Kleins”) collectively hold the other 50% share (40% and 10%, respectively). (SAC at ¶¶ 2-5, 13.) Plaintiff previously ran the cannabis dispensary as an unincorporated association and is named on the local license. (SAC at ¶¶ 9-10, 12.) Plaintiff offered the Kleins 50% equity in Remedy Room in exchange for their payment of 50% of the build-out costs, initial inventory, and cash reserves, totaling approximately \$400,000. (SAC at ¶¶ 11, 13.) The parties agreed that Plaintiff would be responsible for managing and operating the dispensary, while Defendants were “silent partners” in exchange for a waiver of Plaintiff’s usual 25% management fee. (SAC at ¶ 14.) Notably, Wesley owns a competing business (Green Chamber) in the same geographical area, and Plaintiff wanted to ensure Wesley would not unfairly compete with Remedy Room, so the parties agreed that Wesley would have limited access to certain Remedy Room accounts to monitor the companies’ finances. (SAC at ¶¶ 12, 15.) However, in violation of this agreement, Wesley made himself the master user on several accounts needed to run daily operations, enabling Wesley to lock Plaintiff out of key parts of the companies’ operations. (SAC at ¶ 15.)

Plaintiff also alleges that he at all times successfully ran the business, and the parties formed the corporation after being required to by the County. (SAC at ¶¶ 16-23.) On January 31, 2022, Wesley and attorney Jonathan Landis filed articles of incorporation with the California Secretary of State. (SAC at ¶¶ 24-25.) However, no formal corporate meeting occurred, including a formal vote of directors, nor have the parties executed bylaws. (SAC at ¶¶ 26-29.) On April 8, 2022, Landis, at Wesley’s direction, filed a Statement of Information (“SOI”) with the Secretary of State, identifying Plaintiff as the CEO, and Wesley as the Secretary and CFO—the latter of which was never agreed upon. (SAC at ¶¶ 30-32.) The SOI also identified all three parties as directors, even though this also was never agreed to. (SAC at ¶¶ 33-34.) Since September 2023, Wesley has engaged in a campaign to take over the business. (SAC at ¶ 40.) The catalyst for Wesley’s campaign comes from Plaintiff’s discovery of an accounting error caused by their vendor, RR Consulting Corporation (“RRCC”), that resulted in a failure to pay dividends and royalties to Wesley of \$970,000. (SAC at ¶¶ 41-45.) Wesley agreed to be paid back over time, and Plaintiff has since paid Wesley a lump sum of \$500,000, withholding the balance due to the damages Wesley has, and continues, to cause at Remedy Room. (SAC at ¶ 46, n. 4.) Thereafter, Wesley terminated the services of RRCC, started harassing the dispensary’s employees, threatened the general manager, and assaulted Plaintiff and security personnel. (SAC at ¶¶ 50-70, 81-83.) Wesley then changed Remedy Room’s bank account password and retained a new payroll company without permission, causing payroll and morale issues. (SAC at ¶¶ 71-72, 75, 77-78.) He also removed Plaintiff’s access to METRC and other administrative accounts necessary to accept deliveries and ensure compliance with California regulations, which led to a decrease in business. (SAC at ¶ 72, 84-88.)

On June 28, 2024, the Court granted Plaintiff’s request for a temporary restraining order (“TRO”) prohibiting Wesley from coming onto the Remedy Room premises located at 8642 Limonite Avenue, Riverside, California (the “Premises”), and requiring him to remove his recreational vehicle from the parking lot of the Premises. As a condition of the Court entering the TRO, Plaintiff agreed to: operate video cameras at

the Premises 24/7; allow Wesley remote access to the video recordings; process all funds coming in to Remedy Room through the company's bank accounts; only disburse funds for ordinary business operational expenses, with no disbursements to any owner or stockholder; allow both security teams to remain in place; and to refrain from terminating any current staff members without the consent of both Plaintiff and Wesley.

On July 12, 2024, the Court granted Plaintiff's application for a preliminary injunction, finding Plaintiff showed a likelihood of prevailing on the merits of his claims and likely harm to Plaintiff and Remedy Room if the application was denied. The Court ordered that the Kleins and anyone acting on their behalf were enjoined from: coming within 50 yards of the Premises and its parking lot; coming within 50 yards of or contacting Remedy Room employees, other than to restore access to any system the Kleins had taken away; removing or retaining access to Remedy Room's operational accounts, bank accounts, and/or other financial accounts; making any changes to Remedy Room's marketing platforms, including Weedmaps; exercising any administrative control or authority over Remedy Room's point of sale system known as "Meadow;" interfering with any of Remedy Room's vendors, third-party contractors, and/or service providers; interfering with the restoration of any contracts or agreements that either of the Kleins have cancelled from August 1, 2023 to the present; making any unauthorized withdrawals or payments from Remedy Room's bank accounts; and making any changes to Remedy Room's security systems, alarm systems, computer systems, and keyless entry systems. The Kleins were also ordered to provide Plaintiff with the information needed to reverse any changes they made to Remedy Room's bank or financial accounts, market platforms, security systems, alarm systems, computer systems, and keyless entry systems since August 1, 2023.

On July 31, 2024, the parties stipulated to the appointment of Edythe L. Bronston ("Bronston") as the provisional director of Remedy Room.

On January 14, 2025, after the Court granted leave for them to do so, the Kleins filed a Cross-Complaint against Remedy Room, Hewitt, and several others for: (1) declaratory relief; (2) and (3) breach of fiduciary duty prior to incorporation of Remedy Room; (4) accounting; (5) breach of fiduciary duty; (6) conversion; and (7) breach of fiduciary duty. On June 9, 2025, the Court sustained Cross-Complainants Hewitt's and Brandon Vargas' demurrer to the 2nd through 6th causes of action of the Cross-Complaint. The Court also granted Hewitt's anti-SLAPP motion as to the 7th cause of action of the Cross-Complaint.

On November 10, 2025, the Kleins filed the operative Second Amended Cross-Complaint ("SACC") alleging five causes of action for breach of fiduciary duty. The SACC generally alleges that Cross-Defendants conspired to divert funds from Remedy Room for their own benefit, concealed these diversions through falsified records and misleading tax filings, and made disproportionate profit distributions, causing damages to both the Kleins directly and to Remedy Room as an entity. Hewitt and Vargas demurred to the SACC, and on January 27, 2026, the Court overruled that demurrer.

Defendants/Cross-Complainants now move for the appointment of a receiver pursuant to C.C.P. § 564(b)(6) and (b)(9), arguing that Plaintiff's financial

mismanagement of Remedy Room, confirmed by forensic analysis, threatens Remedy Room's viability. They also argue that if the court is not inclined to appoint a general receiver, it should appoint a limited purpose receiver to review Remedy Room's books and oversee business operations to ensure that Plaintiff is not engaging in further illegal activity.

In opposition, Plaintiff argues that Remedy Room is operating effectively and profitably, and always has, but the Kleins, who operate a competing cannabis business, seek to destroy the business. He also argues that a provisional director has been in place for two years to assist in the continued operation of Remedy Room during this dispute between the shareholders; Remedy Room uses outside professionals for payroll, accounting, and tax matters, and Wesley has always had access to Remedy Room's tax documents and these professionals; any accounting or tax issues identified are addressed through ordinary business processes, professional review, and Board review; and there is no valid evidence of mismanagement. Finally, he argues that the appointment of a receiver is a drastic remedy; Defendants have not met their burden of showing it is appropriate; appointment of a receiver will do more harm than good because it will disrupt employees and cause Remedy Room to incur unnecessary fees and costs; and the proposed receiver is not competent to run Remedy Room.

In reply, Defendants argue that a receiver is necessary because the undisputed forensic evidence shows that Remedy Room's books, accounting records, and tax reporting are unreliable, exposing the corporation to substantial tax liabilities. They also argue that Plaintiff's claim that Remedy Room is profitable does not preclude the appointment of a receiver, nor does the appointment of a provisional director. Finally, they argue that no other remedy can protect Remedy Room from continuing harm.

Plaintiff objects to numerous paragraphs and documents attached to the Decl. of Wesley Klein ("Klein Decl.").

- The objections to ¶¶ 5 (regarding the discovery of a ledger and its contents) and 14 (regarding the contents of the Shogren report) should be sustained on the grounds they are hearsay and violate Evid. Code § 1523;
- The objection to ¶ 7 should be overruled;
- The objections to ¶¶ 9, 13, 15, 17, 19, 20, and 25 should be sustained on the grounds of speculation and/or improper opinions/conclusions;
- The objection to Ex. J should be sustained on the basis of hearsay without evidence supporting the application of the business record or any other exception;
- The objection to ¶ 18 and Ex. K should be overruled; and
- The objections to ¶¶ 13.i-13.xxxii should be overruled to the extent they reference payments, and sustained to the extent they conclude the payments were improper or in violation of a board resolution because Wesley is not an expert on this matters.

Plaintiff also objects to numerous paragraphs and documents attached to the Decl. of John E. Altstadt ("Altstadt Decl.").

- The objections to ¶¶ 5 (regarding shareholder interests) and 45 (opinion as to what GreenGrowth was documenting in its memo) should be sustained on the grounds of speculation and lack of personal knowledge;
- The objections to ¶¶ 26, 31, 41-44, 49, 50, 59, and 98-102, and Schedules 1-5 should be overruled, as they set forth opinions based on Altstadt's expertise as set forth in the declaration and his CV; and
- The objections to ¶¶ 94 and 95 (regarding possible tax ramifications on individuals shareholders based on potential tax penalties to Remedy Room despite lack of review of individual tax returns) should be sustained as speculative.

Defendants' objection to ¶ 21 of the Decl. of Scotty Hewitt ("Hewitt Decl.") should be overruled. Their objections to ¶¶ 22-26 of the Hewitt Decl., regarding Wesley's communications with Wilbur Quon, a CPA, should be sustained, as Hewitt has shown no personal knowledge regarding Wesley's receipt of such communications.

A receivership pending suit is a provisional, equitable remedy designed to preserve the status quo during litigation. (*Southern Cal. Sunbelt Developers, Inc. v. Banyan Ltd. Partnership* (2017) 8 Cal.App.5th 910, 925[.]) A party who seeks the appointment of a receiver of certain property has the burden to establish by a preponderance of the evidence that the moving party has a joint interest in the property; the property is in danger of being lost, removed or materially injured; and the party seeking a receiver has a right to possession. (*Alhambra Shumway Mines, Inc. v. Alhambra Gold Mine Corp.* (1953) 116 Cal.App.2d 869, 873). The person seeking the appointment has the burden of showing by admissible evidence that there is a danger of ongoing harm. (*Id.*)

The appointment of a receiver is a drastic remedy to be utilized only in "exceptional cases." As such, a receiver should not be appointed unless absolutely essential and because no other remedy will serve its purpose. (*Medipro Medical Staffing, LLC v. Certified Nursing Registry, Inc.* (2021) 60 Cal.App.5th 622, 628; *City & County of San Francisco v. Daley* (1993) 16 Cal.App.4th 734, 744; *Cohen v. Herbert* (1960) 186 Cal.App. 2d 488, 495 ["The remedy is an extraordinary and harsh one, to be allowed cautiously and only where less onerous remedies would be inadequate or unavailable."].) "Ordinarily, if there is any other remedy, less severe in its results, which will adequately protect the rights of the parties, a court should not take property out of the hands of its owners." (*Golden State Glass Corp. v. Superior Court of Los Angeles County* (1939) 13 Cal.2d 384, 393.) Additionally, the court has broad discretion to determine if the appointment of a receiver is necessary. (*Gold v. Gold* (2003) 114 Cal.App.4th 791, 808.)

In California, "a receiver may be appointed only as permitted by C.C.P. § 564." (*Barclays Bank of Cal. v. Sup. Ct.* (1977) 69 Cal.App.3d 593.) Defendants/Cross-Complainants here ask the Court to appoint a receiver pursuant to C.C.P. § 564(b)(6) and (b)(9) based on Hewitt's alleged mismanagement of Remedy Room.

C.C.P. § 564(b)(6) authorizes the appointment of a receiver where a corporation is insolvent, is in imminent danger of insolvency, or has forfeited its corporate rights. Defendants present no evidence showing that Remedy Room is insolvent, in danger of being insolvent, or has forfeited its corporate rights. Therefore, there is no basis for the appointment of a receiver pursuant to C.C.P. § 564(b)(6).

However, a receiver may also be appointed where it is “necessary to preserve the property or rights of any party.” (C.C.P. § 564(b)(9).) In support of their motion, Defendants present evidence that Remedy Room has understated its revenue by a total of approximately \$310,000 on its tax returns for the years 2020-2024. (Altstadt Decl. at ¶¶ 7, 18, 22-26, Schedule 3.) They also present evidence that Remedy Room has made overstated or improper deductions for labor, security, management fees, taxes, and unnegotiated shareholder payroll checks on its Federal and California tax returns. (Altstadt Decl. at ¶¶ 28-32, 36-38, 53, 56-57, 59-61.) Their expert, Mr. Altstadt, also opines that \$2.5 million deducted as “professional fees” were likely actually shareholder distribution payments that are not deductible and “would likely be reversed by audit by the California Franchise Tax Board.” (Altstadt Decl. at ¶¶ 49-53.) He further opines that the “total potential improper deductions” were approximately \$2.9 million on the Federal tax returns and more than \$6.1 million on California Franchise Tax returns. (Altstadt Decl. at ¶¶ 62-63, Schedule 4.) He estimates that the total potential amounts owed by Remedy Room for the years 2020-2024, in additional tax assessments and penalties, is \$1,847,633. (Altstadt Decl. at ¶¶ 66-75.) Mr. Altstadt also states that he reviewed an internal profit and loss statement from 2025, and based on that, he estimates Remedy Room may owe additional taxes and penalties totaling \$373,006. (Altstadt Decl. at ¶¶ 77-82.)¹

In response, Plaintiff presents evidence that Remedy Room is a profitable business, averaging \$726,641.83 in monthly sales over the past two years; as of June 2026, it maintains \$493,954.41 in its bank accounts, and \$21,985.50 in cash on hand; and it maintains inventory valued at \$638,760. (Hewitt Decl. at ¶¶ 6-7, 11-14.) He also presents evidence that all payroll, accounting, and tax matters are handled by outside professionals, with Gusto, Inc. handling payroll since August 2025, as unanimously voted on by the Board, and Green Growth CPA handling its accounting and taxes since 2024. (Hewitt Decl. at ¶¶ 17-21, 27-29, 31.) Additionally, the Board unanimously voted to retain Steven Roopenian of Green Spring LLP in November 2024 to provide an accounting review, financial oversight, and assistance with accounting and tax-related matters. (Hewitt Decl. at ¶ 30; Decl. of Steven Roopenian [“Roopenian Decl.”] at ¶ 2.) Since that time, Mr. Roopenian/Green Spring has provided “bookkeeping and accounting services designed to keep [Remedy Room’s] financial records accurate, current, and compliant,” including maintaining a general ledger; reconciling all accounts; handling sales tax reporting and filing; and preparing financial statements. (Roopenian Decl. at ¶¶ 3-7.) Since being retained, Roopenian regularly meets with the Board of Directors on financial matters and has been making steady progress on Remedy Room’s tax issues. (Roopenian Decl. at ¶¶ 8-9; Hewitt Decl. at ¶¶ 33-34.)

¹ He also discusses potential tax liabilities for improper payroll tax and information reporting, but states that he “cannot estimate the total potential penalties” because he does not have the necessary information. (Altstadt Decl. at ¶¶ 88-90.)

Based on the evidence presented, there does not appear to be any dispute that Remedy Room has tax issues that could potentially lead to additional tax assessments and penalties. However, the evidence also shows that the majority (if not all) of these issues occurred prior to the appointment of Remedy Room's new payroll company, accountant, and Mr. Roopenian/Green Spring, and that these issues are being addressed by the professionals hired by Remedy Room. (Altstadt Decl. at 7, 18, 22-32, 36-38, 49-53, 56-63, 66-75, Schedules 3, 4; Hewitt Decl. at ¶¶ 17-21, 27-29, 31-34; Roopenian Decl. at ¶¶ 2-9.) Thus, Defendants have not established a risk of continuing harm due to Hewitt's alleged mismanagement of Remedy Room. Additionally, to the extent Wesley is required to pay additional tax assessments and/or penalties due to Hewitt's mishandling of Remedy Room's finances, he can seek monetary damages from Hewitt. Accordingly, the motion is denied.

3.

CASE #	CASE NAME	HEARING NAME
CVSW2305039	TEMECULA PETROLEUM INC. VS TEMECULA PREMIUM GASOLINE	MOTION TO COMPEL FURTHER RESPONSES TO REQUEST FOR PRODUCTION OF DOCUMENTS AND REQUEST FOR SANCTIONS

Tentative Ruling:

PROOF OF SERVICE: Proper

The hearing is **CONTINUED** so that the parties are to meet and confer telephonically.

Specifically, the parties are ordered to address the scope of the RFPs seeking communications regarding the operation of the business between TPG and various individuals, which appear to be overbroad as drafted. The parties are to file a joint statement regarding the meet and confer efforts and results thereof at least ten days prior to the continued hearing.